
CHURN IS DEAD

The Metered vs. Earned Retention Audit

A diagnostic tool for CS teams managing consumption-priced books

In consumption pricing, most of your NRR is generated by the meter, not the motion — and the meter reports churn last. This audit splits your portfolio's NRR into what you caused and what you happened to stand next to, then flags the accounts collapsing while the dollar still looks healthy.

Scoring: Rate each item 1-5. 1 = not happening, 5 = embedded in operations.

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Source: churnisdead.com

Version: 1.0 -- July 2026

SECTION 1

Meter Drift: Isolating the NRR No Human Touched

Drift is real money that arrives and departs on the customer's operational calendar, not yours. If you can't separate it from earned growth, you'll credit the meter to your CS team and get ambushed when it reverses.

Criteria	What Good Looks Like	What Bad Looks Like
Every expansion account is decomposed into metered vs. earned dollars	For each growth account, the team can state the split (e.g. '92% metered, 26% earned') with usage logs behind it	Expansion is booked as a single number and attributed to the account team wholesale
One-time usage flows are identified and tagged	Migrations, backfills, batch jobs, and seasonal spikes are flagged as non-recurring at the moment they hit the meter	One-time ingest is treated as a new run rate until the invoice drops the following quarter
Drift is excluded from CS performance credit	QBR and board decks separate exogenous usage growth from CS-driven growth	The CSM books meter drift as a personal win and it goes in the board prep
Drift reversal is forecast, not discovered	Team predicts when a one-time flow will roll off and adjusts the account's expected trajectory in advance	The 'expansion' quietly reverses by autumn with no one having flagged it

Score This Section

Criteria	Score
No decomposition — all NRR treated as CS-influenced	1
Drift is discussed anecdotally but not measured	2
Some accounts decomposed manually after the fact	3
Metered vs. earned split maintained for all growth accounts	4
Split is systematic, forecasts reversals, and gates performance credit	5

Your Score: ____ / 5

SECTION 2

The Consumption Tell: Watching Rate of Change, Not Dollars

Usage decelerates before revenue does. Committed spend, prepaid credits, and annual floors hold the dollar flat while the customer disengages — so managing by revenue means managing too late.

Criteria	What Good Looks Like	What Bad Looks Like
Trailing usage delta is tracked weekly in units, not dollars	Every account shows this week's consumption vs. the 4-week trailing average as a percentage of queries/ingest/compute-seconds	The dashboard only shows dollars and prepaid credit balances
Second-order signal (deceleration) is monitored	Team watches whether the weekly delta is getting more negative for 3-4 weeks running, not just a single down week	A single down week triggers panic while a structural slide goes unnoticed
Distinct active teams/users is a tracked metric	Breadth of adoption is counted separately from throughput volume, because a batch job can't fake team count	Only aggregate volume is tracked, so a migration reads as health
Amber/red flags fire on engagement, independent of dollars	Account goes amber on 3 weeks of decelerating delta + declining team count; red when dollars still show expansion	Flags are driven purely by revenue, so they fire never on a hidden-churn account

Score This Section

Criteria	Score
No usage-velocity tracking exists	1
Usage is visible but only as raw totals, not deltas	2
Weekly deltas tracked but no deceleration or team-count logic	3
Deceleration and distinct-team flags exist and fire independently of dollars	4
Amber/red flagging is automated, reviewed weekly, and drives intervention	5

Your Score: ____ / 5

SECTION 3

Earned Retention: Naming It Account by Account

Earned retention is the specific, documented subset where a CS action changed the trajectory — not the whole book. If you can't point to the artifact, you didn't earn it, you witnessed it.

Criteria	What Good Looks Like	What Bad Looks Like
Each earned account has a documented artifact	There is a Slack thread, success plan line item, escalation, or named champion behind the growth	Growth is claimed with no traceable action behind it
The specific CS action is named for top expansion accounts	For the ten biggest expansions, the team can name the exact play (second use case stood up, integration unblocked, exec alignment)	The team cannot name what caused growth for most of its biggest accounts
Earned dollars are counted, not assumed	Earned retention is a specific subset total, isolated from portfolio NRR	The full NRR figure is presented as CS-caused
Earned retention is repeatable, not accidental	Named plays that produce earned retention are documented and reused across accounts	Wins are one-offs with no pattern anyone can run again

Score This Section

Criteria	Score
No distinction between earned and total NRR	1
Earned wins claimed but rarely documented	2
Some accounts have artifacts; coverage is inconsistent	3
Every earned account is named and evidenced	4
Earned retention is isolated, named, and reproduced through documented plays	5

Your Score: ____ / 5

SECTION 4

The Reversal Window: Intervening Before the Renewal

There is a lag between a usage collapse and the renewal conversation. That window is where the real intervention has to happen — miss it and by renewal you're not intervening, you're witnessing.

Criteria	What Good Looks Like	What Bad Looks Like
The lag between usage drop and renewal is measured	Team knows how many weeks pass between a usage collapse and the renewal date for each account	Nobody knows how much runway exists after a usage slide begins
Intervention is triggered at the usage tell, not the renewal	Red-flagged accounts get a play launched within days of the deceleration signal	Outreach starts only when the renewal quarter arrives and the number has already collapsed
Commit/credit structure is factored into timing	Team knows when commits reset and credits burn down, and acts before the dollar catches up	The collapse is discovered when the commit resets and revenue drops all at once
Reversal saves are tracked as earned retention	Accounts pulled back from a usage collapse are documented as CS-caused saves	Reversals are attributed to luck or the meter, with no credit or learning

Score This Section

Criteria	Score
Renewal is the first time trajectory is discussed	1
Usage drops noticed late, near renewal	2
Some early intervention, but timing is inconsistent	3
Interventions launch off the usage tell within the reversal window	4
Reversal window is measured, staffed, and saves are documented as earned retention	5

Your Score: ____ / 5

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Your Scorecard

Dimension	Your Score	Max
1. Meter Drift: Isolating the NRR No Human Touched	_____	5
2. The Consumption Tell: Watching Rate of Change, Not Dollars	_____	5
3. Earned Retention: Naming It Account by Account	_____	5
4. The Reversal Window: Intervening Before the Renewal	_____	5
TOTAL	_____	20

Total Score	Assessment	What It Means
16-20	Uncuttable	Embedded, measurable, strategically irreplaceable.
12-15	Defensible	Solid but gaps remain. Focus on lowest dimension.
8-11	Vulnerable	Real risk ahead. Treat as urgent.
4-7	Critical	Cannot survive scrutiny. Major changes needed.

What to do next: Take your lowest-scoring section and build a 30-day action plan. One at a time. Then share this with leadership -- not to ask permission, but to show you know where the gaps are.

The usage graph is the diagnosis. The dollar is the report you read at the funeral.

-- Kuber

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